

Meta Platforms, Inc.

META NASDAQ

Buy

\$594.33 ▲ 6.76%

12M Price Target
\$675.00

52-Week Range
\$520.26 – \$796.25

Market Cap
\$1.51T

META: Post-Earnings Bounce as AI Spend Fears Fade

WHAT HAPPENED

- META ripped +6.76% today, clawing back most of last Thursday's ugly -8% earnings-day drop. Translation: the market panicked on their AI spending guidance (they're planning to spend a LOT more on GPUs and data centers), slept on it over the weekend, and decided "you know what, they can afford it." Amazon reporting strong AI-driven results overnight helped — it reframed heavy AI capex as smart offense, not reckless spending.
- The Yahoo piece on open-weight AI models is actually a subtle tailwind for META specifically. Meta's Llama is the flagship open-source model in the West — as Chinese models (DeepSeek, Qwen) pressure OpenAI's closed-model economics, META's "give it away" strategy suddenly looks like brilliant positioning rather than a giveaway.

WHY IT MATTERS

The 30th's crash and today's snapback tells you the bear case (capex out of control) got tested and buyers showed up — that's constructive. The unusual call buying at \$580-590 strikes for August expiry (\$19M+ notional in three prints) means somebody with real money thinks this run has legs into the next few weeks. Here's the bigger picture: we're in a regime where hyperscaler AI capex is being re-rated as an asset, not an expense, and META is the cheapest of the mega-cap AI plays at ~21x forward earnings (meaning you pay \$21 for every \$1 of next year's profit) versus MSFT at ~32x. The COO selling ~\$640K is noise — that's routine 10b5-1 planned selling, not a signal.

POLICY & POLITICAL WATCH

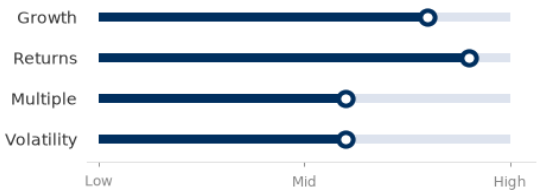
The big overhang right now is the FTC antitrust case — the remedy phase is ongoing and a forced Instagram/WhatsApp divestiture is the tail risk nobody's pricing in. On the tailwind side, the Trump administration's AI Action Plan (released July 2025) explicitly favors open-source AI models and lighter regulation, which is straight-up gift-wrapped for Meta's Llama strategy. Also watch the EU Digital Markets Act enforcement — Meta's already been fined and any "pay or consent" ruling escalation would hit European ad revenue (roughly 23% of the top line).

IS IT EXPENSIVE?

Key Data

Price (USD)	\$594.33
12M Price Target	\$675.00
Upside / (Downside)	+13.6%
Market Cap	\$1.51T
FY2026E Revenue	\$205M
FY2027E Revenue	\$238M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	21.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$630.00	\$605.00	\$560.00
6 Months	\$700.00	\$640.00	\$540.00
1 Year	\$780.00	\$675.00	\$500.00
2 Years	\$900.00	\$750.00	\$480.00
5 Years	\$1200.00	\$900.00	\$450.00
10 Years	\$1800.00	\$1200.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.72% today) is leading, and it's basically a two-stock ETF right now — META and GOOGL doing the heavy lifting on the AI narrative. Consumer Discretionary strong too, riding Amazon's coattails.

COOLING OFF: Materials and Financials are lagging — money isn't chasing cyclical right now, it's crowding into AI beneficiaries.

ROTATION WATCH: Cash is rotating back INTO mega-cap tech after last week's shakeout — the pattern of "sell the earnings, buy the dip 3 days later" is textbook institutional accumulation.

RELATED PLAY: If META's AI thesis works, the second-order winners are the picks-and-shovels: NVDA (chips), VRT (data center cooling), and power/utility names near hyperscaler data centers (CEG, VST).

WHO'S WINNING IN THIS SPACE?

- AMZN (Amazon): Just had "best day in years" per Trefis on AI spending re-rating — validates the capex-as-offense playbook.
- MU (Micron): 85% gross margins on AI memory demand — the pure-play beneficiary of exactly the spending META is doing.

META CONTEXT: META is playing catch-up today after being the whipping boy of earnings week — it's lagging the AI-adjacent names on a 5-day basis but leading the Comm Services bounce. That "left behind, now catching up" setup is usually where the easier money is over the next 2-4 weeks.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Solid buy but not a table-pounder; the capex overhang is real and the stock is 25% off its highs for a reason.

POSITION SIZE: 4-6% of a diversified portfolio — big enough to matter, small enough that a 20% drawdown doesn't wreck you.

ENTRY POINTS: Add on pullbacks to \$555-575; if we get a macro flush to \$520 (the 52-week low), that's a back-up-the-truck level.

TIME HORIZON: 12-24 months — catalysts are Q3 earnings (late October), 2027 capex guidance, and any concrete AI monetization datapoint.

WHEN TO BAIL: If Q3 ad revenue growth drops below 10% year-over-year, or if capex guidance jumps another 20% without any monetization commentary, cut it. Also if the FTC remedy phase signals a real divestiture threat.

HEDGING: Simplest hedge — buy some downside protection (puts) on the broader Comm Services ETF (XLC) rather than META directly; cheaper premium and you're hedging the whole sector correlation. Or just trim into strength above \$650 and rebuy weakness.